

Because of today's all-time record valuation, it is meaningful that the inflation-adjusted Dow, and therefore the real purchasing power of the Dow Jones Industrial Average, is at essentially the same level as it was in 1966. Indeed, adjusted by the *Consumer Price Index* (see Figure 3-4), it is still *below* its 1966 high, meaning that a share of the DJIA today buys less in the way of consumer goods than it did 29 years ago. (For the record, wave IV ended in 1948 if the Dow is adjusted by the PPI and in 1949 if adjusted by the CPI.) For a moment, contemplate the implication of a stock market index that has made no progress in three decades and which is nevertheless historically overvalued. This event is a "first" for the entire 200 year history of the U.S. stock market and underscores the insidious and hidden regress of true value that stocks and corporations have suffered since 1966. This fact does not fit the cavalier assumption that "there is a lot of room on the upside." It rather prompts the conclusion that the business and industrial base of the United States has subtly deteriorated for three decades. These data are of utmost importance in forming conclusions about the financial, social and political health of the United States. Much looks "fine" on the outside, but on the inside, a cancer has taken hold. The outward symptoms will become increasingly manifest as the Grand Supercycle bear market wears on, and dramatically manifest at the bottom of wave C.

Wave B has served as a respite from the Grand Supercycle bear market that began in 1966. Wave C will make the fact that a bear market began 29 years ago far more obvious than it is today. By the bottom, essays will be written about the "causes" of the collapse, and some of them will undoubtedly recognize in retrospect the onset of a deterioration in the social and economic fabric of the country as far back as the mid-1960s. Wave C, then, should bring about the first culmination of the "ongoing dilemma" that should prove to be "bigger than any previous catastrophe in the history of the United States."